

Projected Y11 Performance ⓘ		
Scoring Measures	Year 11	Investor Expectations
Earnings Per Share	\$2.28	\$2.50
Return On Equity	19.6%	21.0%
Credit Rating	A–	B+
Image Rating	64	70
Other Measures	Year 11	Change from Y10
Net Revenues (\$000s)	448,270	+3.6%
Net Profit (\$000s)	45,682	+14.2%
Ending Cash (\$000s)	53,933	+47,859

Branded Footwear Production		North America Facility	Europe-Africa Facility	Asia-Pacific Facility	Latin America Facility
Branded Production Specs	Materials (see anticipated materials prices at bottom of page)	Standard Materials % 68 %	0 %	46 %	0 %
		Superior Materials % 32 %	0 %	54 %	0 %
	Number of Models / Styles (50 to 500 models)	200	50	200	50
	Enhanced Styling / Features (\$000s per model)	\$ 10 k/model	\$ 0 k/model	\$ 10 k/model	\$ 0 k/model
	TQM / 6-Sigma Quality Program (\$/pr. produced)	\$ 1.00 per pair	\$ 0.00 per pair	\$ 0.90 per pair	\$ 0.00 per pair

Projected S/Q Rating (the style/quality rating ranges from 0.5 to 10.0 stars)	4.0★	0.0★	4.1★	0.0★
Projected Reject Rate (percentage of pairs that will fail inspection)	7.0%	0.0%	10.1%	0.0%

Maximum Y11 Production Capability (assuming all unused facility space is filled at the beginning of the year with production equipment)	Without Overtime	5,000 pairs	0 pairs	6,000 pairs	0 pairs
	Maximum Overtime	6,000 pairs	0 pairs	7,200 pairs	0 pairs

Total Branded Production Needed in Year 11 (to satisfy projected demand in all four regions)	8,700 (before rejects)	This figure is an approximation given beginning inventories, projected reject rates, and entries that currently reside on the Internet and Wholesale Marketing decision pages. The company must schedule production of about this many pairs to satisfy projected demand and inventory requirements.			
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Note: To install production equipment at the beginning of the current year in a facility that currently has unused space, go to the Production Facilities decision entry page (the next item in the decision entries menu).

Year 11 Production Capability (000s of pairs before rejects)		North America Facility	Europe-Africa Facility	Asia-Pacific Facility	Latin America Facility
	Regular-Time	pairs 4,000	pairs 0	pairs 4,000	pairs 0
	Overtime (20% maximum)	800	0	800	0
	Total Production Capability	pairs 4,800	pairs 0	pairs 4,800	pairs 0
Pairs to be Manufactured in Y11 (000s) Total = 8,282		4,033 pairs	0 pairs	4,249 pairs	0 pairs
Branded Footwear Production (000s of pairs)	Regular-Time Production	pairs 4,000	pairs 0	pairs 4,000	pairs 0
	Overtime Production	33	0	249	0
	Rejected Pairs (and reject rate)	(7.0%) 282	(0.0%) 0	(10.1%) 429	(0.0%) 0
	Net Branded Production	3,751	0	3,820	0
Production Capability Remaining for Private-Label		pairs 767	pairs 0	pairs 551	pairs 0

Cost of Rejected Pairs (in \$000s and \$ per pair produced)	\$6,302	\$1.68	\$0	\$0.00	\$8,175	\$2.14	\$0	\$0.00
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Costs Associated with the Production of Branded Footwear		\$000s	\$/pair	\$000s	\$/pair	\$000s	\$/pair	\$000s	\$/pair
	Materials Cost	31,942	8.52	0	0.00	39,261	10.28	0	0.00
	Labor Cost (including supervisory costs)	35,488	9.46	0	0.00	19,986	5.23	0	0.00
	Enhanced Styling/Features	2,000	0.53	0	0.00	2,000	0.52	0	0.00
	TQM / 6-Sigma Quality Program	4,033	1.08	0	0.00	3,824	1.00	0	0.00
	Production Run Set-Up	4,500	1.20	0	0.00	4,500	1.18	0	0.00
	Maintenance (of facilities and equipment)	2,907	0.77	0	0.00	3,755	0.98	0	0.00
	Depreciation (of facilities and equipment)	9,402	2.51	0	0.00	7,792	2.04	0	0.00
Total Branded Production Cost		90,272	24.07	0	0.00	81,118	21.24	0	0.00

Anticipated Y11 Materials Prices	Standard Materials 6.00 per pair	Superior Materials 12.00 per pair	Beginning figures represent actual materials prices from the prior year.	
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Anticipated Materials Prices: Global materials prices are a function of industry-wide usage of superior versus standard materials and industry-wide utilization of available footwear production capability — see page 4 of the Footwear Industry Report for Year 10. You may enter estimates of Year 11 materials prices above. The more accurate the estimates, the more accurate your projected production costs will be.